

Now that we've talked about understanding debt, let's move on to learning how to manage it.

1. Your Current Standing

a. Net Debt Position

Simply put, Net Debt Position measures how much money you owe compared to your overall wealth that you own!

This ratio helps to gauge your financial vulnerability i.e. your ability to handle financial setbacks.

The formula to calculate this ratio is:

$$\text{Net Debt Position} = \frac{\text{Total Debt}}{\text{Net Worth}} \times 100$$

Wherein,

Total Debt means the sum of all the debts not paid off yet. Those include:

- Home Loan
- Car loans
- Credit card balances
- Student loans
- Personal loans
- Other financial obligations

The value taken should be the balance not paid off yet for the respective loans.